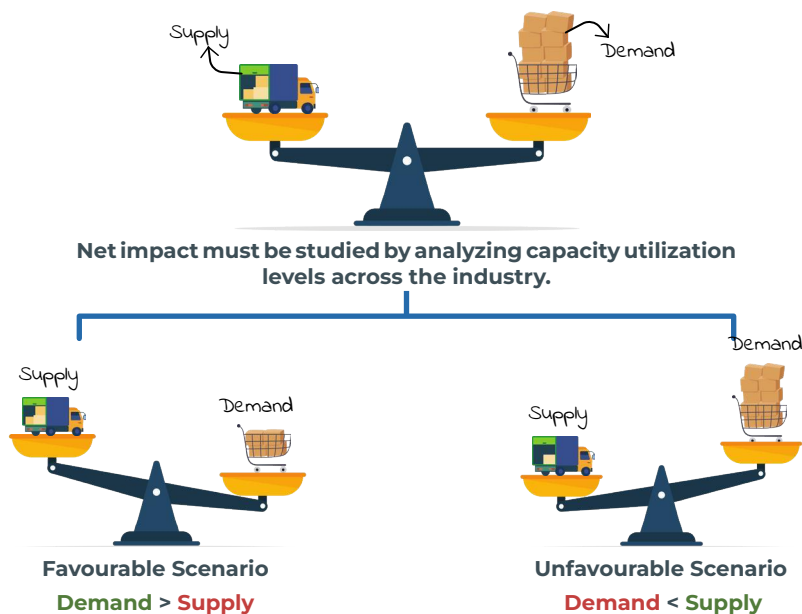


Capacity Utilisation

Once the demand and supply scenarios have been understood separately, their total impact must be studied by analyzing capacity utilization levels across the industry.



Whether an industry has a favorable or unfavorable demand-supply scenario, is reflected in the capacity utilization levels.

Capacity utilization levels help in determining profitability. Now, as a greater percentage of capacity is used, the fixed costs are spread over a larger base. Thus, fixed cost per unit goes down, increasing profitability. The reverse is also true. Capacity utilization is measured in percentage terms.

